

1.

CASE #	CASE NAME	HEARING NAME
CVRI2600295	GONSAL vs WEIDNER PROPERTY MANAGEMENT LLC, A WASHINGTON LIMITED LIABILITY COMPANY	DEMURRER ON COMPLAINT MOTION TO STRIKE COMPLAINT

Tentative Ruling:

The hearing on the demurrer and motion to strike is continued to September 9, 2026, at 8:30 a.m.. Defendants are ordered to *meet and confer in person or via phone or videoconferencing* with Plaintiff for the purpose of determining whether an agreement can be reached that would resolve the objections raised in the demurrer and motion to strike. As part of the meet and confer process, Defendants shall identify the specific causes of action that they believe are subject to demurrer and motion to strike and identify with legal support the basis of the deficiencies. Plaintiff shall provide legal support for her position that the pleading is legally sufficient or, in the alternative, how the complaint may be amended to cure any legal insufficiency. Specifically, the parties shall meet and confer as to whether Plaintiff alleged sufficient facts with the requisite specificity to support the 1st, 2nd, 4th, 5th, 6th, 9th, 10th, 14th, and 15th causes of action, and to support her claims for punitive damages against Defendants as corporate employers.

After meeting and conferring, Defendants shall have 10 days before the continued hearing date set above do one of the following:

- 1) Vacate the hearing on the demurrer and motion to strike, and file an Answer;
- 2) File with the court a declaration stating the parties have agreed that Plaintiff will file an amended complaint before the date set forth above; or
- 3) File with the Court a declaration stating the means by which the parties met and conferred and identifying the specific objections in the demurrer and motion to strike and supporting memorandum of points and authorities that the parties were unable to resolve. (C.C.P. §§ 430.41(a)(3); 435.5(a)(3).)

No further briefing is permitted.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2600397	PEREZ vs BANDERAS GENERAL CONTRACTORS	DEMURRER ON 1ST AMENDED COMPLAINT

Tentative Ruling:

Defendants satisfied their meet-and-confer obligation via telephone.

A demurrer for sufficiency tests whether the complaint states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (*Taylor v. City of Los Angeles Dept. of Water & Power* (2006) 144 Cal.App.4th 1216, 1228.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or by proper judicial notice. (CCP § 430.30(a).) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (*SKF Farms v. Sup. Ct.* (1984) 153 Cal.App.3d 902, 905.) Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (*Id.*) The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action. (*Hahn, supra*, 147 Cal.App.4th at 747.)

First Cause of Action: Breach of Oral Contract

Defendants contend the first cause of action is barred by the two-year statute of limitations for oral contracts under CCP § 339(1) and that Plaintiff's equitable tolling theory fails as a matter of law.

Statute of Limitations Under CCP § 339(1)

The statute of limitations for an action upon a contract, obligation, or liability not founded upon an instrument in writing is two years. (CCP § 339(1).) A cause of action for breach of an oral contract ordinarily accrues at the time of breach. (*Professional Collection Consultants v. Lauron* (2017) 8 Cal.App.5th 958, 966.) A demurrer on statute of limitations grounds is properly sustained only where the running of the statute appears clearly and affirmatively from the face of the pleading. (*E-Fab, Inc. v. Accountants, Inc. Servs.* (2007) 153 Cal.App.4th 1308, 1316–17.)

Here, the FAC's allegations establish accrual no later than mid-2023. The oral agreement was formed on or about January 22, 2023. (FAC ¶ 14.) The last of twelve payments totaling \$124,000 was made on April 14, 2023. (*Id.* at ¶ 20.) Around May of 2023, Riverside County Code Enforcement issued a violation to Banderas for construction without a permit while he was working on the property. (*Id.* at ¶ 23.) Thereafter, Banderas failed to return to complete the work. (*Id.* at ¶ 27.) Under any of these accrual dates, the two-year period expired well before Plaintiff filed the original Complaint on January 14, 2026, and the FAC on May 12, 2026. Even accepting Plaintiff's December 2023 CSLB filing as the latest arguable accrual point, the two-year period expired in December 2025, still before the original Complaint. The claim is therefore time-barred on its face unless equitable tolling applies.

Equitable Tolling

"The equitable tolling of statutes of limitations is a judicially created, nonstatutory doctrine" that is "designed to prevent unjust and technical forfeitures of the right to a trial on the merits when the purpose of the statute of limitations—timely notice to the

defendant of the plaintiff's claims—has been satisfied.” (*McDonald v. Antelope Valley Cmty. Coll. Dist.* (2008) 45 Cal.4th 88, 99 [internal quotation omitted].) The doctrine applies “[w]hen an injured person has several legal remedies and, reasonably and in good faith, pursues one,” and “may apply where one action stands to lessen the harm that is the subject of a potential second action; where administrative remedies must be exhausted before a second action can proceed; or where a first action, embarked upon in good faith, is found to be defective for some reason.” (*Id.* at 100 [internal quotation marks & quotation omitted].) Tolling is not confined to cases of mandatory exhaustion; it may extend to the voluntary pursuit of an alternate remedy, “regardless of whether the exhaustion of one remedy is a prerequisite to the pursuit of another, if the defendant is not prejudiced thereby.” (*Id.* at 101–02; see also *Elkins v. Derby* (1974) 12 Cal.3d 410, 414.)

To invoke the doctrine, a plaintiff must establish three elements: “timely notice, and lack of prejudice, to the defendant, and reasonable and good faith conduct on the part of the plaintiff.” (*McDonald, supra*, 45 Cal.4th at 102 [internal quotation omitted].) Timely notice requires that the first claim be filed within the statutory period and that its filing alert the defendant to the need to investigate the facts underlying the second claim. (*Id.* at 102, fn. 2 [internal quotation omitted].) Lack of prejudice requires that the two claims be “identical or at least so similar” that the defendant’s investigation of the first will position it to fairly defend the second. (*Id.*) Reasonable and good faith conduct requires diligent pursuit of the second claim. (*Id.*) A plaintiff relying on equitable tolling to avoid a limitations bar must plead facts establishing the doctrine’s applicability. (*Long v. Forty Niners Football Co., LLC* (2019) 33 Cal.App.5th 550, 555.) Conclusory allegations are insufficient. (See *Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 808.) Plaintiff contends that his December 2023 CSLB complaint tolled the two-year period because the CSLB’s investigation gave Defendants notice of his claims and afforded them an opportunity to preserve evidence related to the ADU project. Plaintiff further argues that equitable tolling does not require that the alternate proceeding provide “genuine alternative remedies,” and that in any event, the CSLB may issue warning letters, citations, and orders of correction or payment under Bus. & Prof. Code § 7091 and 7099.

As a threshold matter, there is serious doubt whether a CSLB disciplinary complaint is the sort of alternate proceeding whose pursuit could substitute for a civil action to recover contract damages. Equitable tolling rests on the premise that the first proceeding had the potential to lessen the harm that is the subject of the second proceeding. (*McDonald, supra*, 45 Cal.4th at 100.) The two controlling cases—*Elkins* and *McDonald*—both involved a first proceeding that could give the plaintiff relief for the same injury later pursued in court. *Elkins* involved a workers’ compensation proceeding that could award the injured worker the very compensation he sought. (*Elkins, supra*, 12 Cal.3d at 413, 417.) *McDonald* involved an internal grievance procedure directed at the same discrimination claim later pursued in court under FEHA. (*McDonald, supra*, 45 Cal.4th at 104–05.)

A CSLB disciplinary complaint is different in kind. The CSLB is a licensing and regulatory body; its statutory remedies, including warning letters, citations, orders of correction, orders for payment in lieu of correction, and civil penalties, are regulatory measures imposed by the registrar to enforce the licensing scheme, not a civil adjudication of contract rights on behalf of the complainant. (See Bus. & Prof. Code §§ 7091, 7099.) The CSLB has no authority to award Plaintiff the \$124,000 he paid Banderas (FAC ¶ 20), compel completion of the ADU remodel, or otherwise adjudicate the contract damages sought in this action.

Plaintiff's reliance on *Hopkins v. Kedzierski* (2014) 225 Cal.App.4th 736, does not change the analysis. *Hopkins* holds that whether the elements of equitable tolling are satisfied is generally a question of fact. (*Id.* at 745–46, 755.) That observation does not disturb the threshold legal requirement, recognized in *McDonald*, that the first proceeding be one capable of lessening the same harm the plaintiff later pursues in court. (*McDonald, supra*, 45 Cal.4th at 100.) However, the Court need not resolve that threshold question at this stage, because even assuming a CSLB proceeding could qualify, the FAC fails to plead facts sufficient to establish the three required elements. The tolling allegations in the FAC fail on each of the three *McDonald* elements—(1) timely notice; (2) lack of prejudice; and (3) reasonable and good faith conduct.

Timely Notice

The FAC alleges only that “[i]n December of 2023, rather than filing a lawsuit against defendants, [Plaintiff] initiated a complaint to the CSLB regarding BGC,” which was accepted on January 8, 2024. (FAC ¶ 32.) The FAC does not allege what the CSLB complaint stated, when or how notice of it was served on either Defendant, or how the complaint alerted each Defendant to investigate the specific breach of contract and implied covenant claims Plaintiff now asserts. The FAC alleges only in a conclusory manner that Defendants collectively received notice through the CSLB proceeding. (*Id.* at ¶ 33.) The only factual allegation identifying who was named in the CSLB filing describes a complaint against BGC alone. (*Id.* at ¶ 32.) No facts are alleged showing that Banderas as an individual received timely notice of the administrative complaint.

Lack of Prejudice

Beyond the conclusory allegation that the CSLB filing afforded Defendants an opportunity to “gather and preserve evidence” (*Id.* at ¶ 33), the FAC pleads no facts showing that a CSLB licensing investigation put Defendants in a position to fairly defend a civil action for breach of an oral construction contract, seeking recovery of the \$124,000 paid (*Id.* at ¶ 20) together with consequential damages, over the months-long delay between when the limitations period would have run absent tolling and when suit was actually filed. That is precisely the type of conclusory tolling allegation that will not withstand demurrer.

Reasonable and Good Faith Conduct

The FAC alleges that “[a]round summer or fall of 2025, the CSLB advised [Plaintiff] that he could commence an action against Banderas.” (*Id.* at ¶ 34.) Plaintiff then filed the original Complaint on January 14, 2026, and the FAC on May 12, 2026. The FAC pleads no facts describing Plaintiff’s diligence during the CSLB’s proceeding, no facts explaining why he pursued a licensing complaint rather than a civil action to recover the contract damages he now seeks, and no facts showing an objectively reasonable basis for treating a licensing complaint as an adequate substitute for civil litigation. Conclusory allegations do not suffice to establish this element.

Plaintiff’s citation to *Elkins* does not cure these pleading deficiencies. Even where the doctrine is available in principle, its application still requires that the plaintiff plead facts establishing timely notice, lack of prejudice, and reasonable, good faith conduct. (*McDonald, supra*, 45 Cal.4th at 102.) The FAC pleads none of those facts with the specificity required to withstand demurrer.

Because the FAC does not plead facts establishing equitable tolling, the first cause of action for breach of oral contract is time-barred on its face.

Second Cause of Action: Breach of the Covenant of Good Faith and Fair Dealing

Defendants argue the second cause of action is duplicative of the first and thus superfluous and that it is independently time-barred because a claim for breach of the covenant of good faith and fair dealing is governed by the statute of limitations applicable to the underlying contract.

“The covenant of good faith and fair dealing, implied by law in every contract, exists merely to prevent one contracting party from unfairly frustrating the other party’s right to receive *the benefit of the agreement actually made.*” (*Guz v. Bechtel Nat’l, Inc.* (2000) 24 Cal.4th 317, 349 [italics in original].) It does not impose substantive duties or limits beyond those incorporated in the parties’ contract. (*Id.* at 350.) Where a claim for breach of the implied covenant does not “go beyond the statement of a mere contract breach, and relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as *no additional claim is actually stated.*” (*Levy v. Only Cremations for Pets, Inc.* (2020) 57 Cal.App.5th 203, 215 [italics in original].) A claim for breach of the implied covenant is governed by the statute of limitations applicable to the underlying contract. (*Archdale v. Am. Int’l Specialty Lines Ins. Co.* (2007) 154 Cal.App.4th 449, 472.)

The second cause of action incorporates the same operative facts as the first (FAC ¶¶ 36, 43); alleges the same failures—*i.e.*, no scope of work, no permits, and non-compliance with home improvement contract requirements including Bus. & Prof. Code § 7159 (FAC ¶¶ 38–39, 47–48); and seeks the same contract damages arising from the

same construction project. It identifies no independent duty beyond the parties' oral agreement, no distinct breach, and no separate harm.

Plaintiff argues the statutory requirements of section 7159 for home improvement contracts are "implied covenants," and that Defendants' failure to comply with those requirements is therefore a breach of the implied covenant of good faith and fair dealing. That argument, at most, alleges a breach of contract on implied terms, not a breach of the implied covenant. The implied covenant governs how parties perform the contract they made; it does not add new terms or turn statutory requirements into contract obligations. (*Guz, supra*, 24 Cal.4th at 349.) Because the second cause of action alleges the same breaches and seeks the same relief as the first, it is duplicative and subject to demurrer on that ground.

Independently, because the covenant is implied in the alleged oral agreement, the two-year period under CCP § 339(1) applies, and the claim is time-barred for the same reasons as the first cause of action.

Leave to Amend

Although there is substantial doubt that a CSLB disciplinary proceeding can support equitable tolling of a civil contract claim as a matter of law, and although the current pleading fails on each of the three *McDonald* elements, California's liberal policy favors granting leave to amend where a plaintiff has not yet had an opportunity to plead specific tolling facts. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) Plaintiff has not previously been on notice of the specific pleading deficiencies identified above.

The demurrer is sustained as to the first and second causes of action, with ten (10) days leave to amend from the date of service of the notice of ruling or service of the signed order, whichever is first.

3.

CASE #	CASE NAME	HEARING NAME
CVRI2600397	PEREZ vs BANDERAS GENERAL CONTRACTORS	MOTION TO STRIKE 1ST AMENDED COMPLAINT

Tentative Ruling:

Defendants filed a motion to strike paragraph 53 of the FAC on the grounds that it is irrelevant, false, and improper. Plaintiff represents in his opposition that, prior to the filing of the motion, he agreed through counsel to stipulate to strike paragraph 53 of the FAC, and that "[t]hat paragraph and the prayer for punitive damages relating to that allegation is hereby withdrawn." (Pl.'s Opp. 5:12–14.)

The motion is denied as moot, in light of the court's ruling on the demurrer.